

ECON 351 · Focused Practice Set

Set 5 of 10

Chapter 4

Budget Line

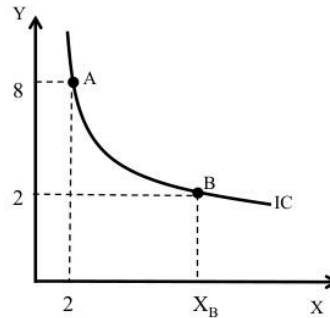
1 question in this practice set

Questions: Q10

Screenshots from original HW, sample questions, and mock midterm.

Question 1 of 1 (Practice Q10)

Budget Line · Sample Q10

What do we know about X_B ?

- (A) $X_B = 4$
- (B) $X_B = 3$
- (C) $X_B = 18$
- (D) $X_B = 16$
- (E) $X_B = 8$

Question 10:

Assume that apples are measured on the horizontal axis and oranges on the vertical axis. If the price of apples increases from \$3 to \$6, and the price of oranges increases from \$2 to \$4, then the budget line will:

- (A) become flatter.
- (B) become steeper.
- (C) shift inward (parallel shift).
- (D) shift outward (parallel shift).
- (E) become steeper or flatter depending on the relationship between prices and income.

Question 9:

Angelique's preferences over goods X and Y can be represented by the following utility function: $u(X, Y) = X^2Y^3$. The graph below represents two baskets, A and B, on the same indifference curve of this consumer.